



REPUBLIC OF THE PHILIPPINES
TARIFF COMMISSION

BRIEFER:
SECTION 1100
OF REPUBLIC
ACT NO. 10863



BRIEFER: SECTION 1100

"Classification Ruling" under Republic Act No. 10863 (Customs Modernization and Tariff Act)



Advance Ruling

An Advance Ruling is an official written decision issued by the TC that provides the appropriate tariff classification of goods under the AHTN prior to importation or exportation. It adds certainty and predictability to trade decisions.

One product or item per application

Application should be filed at least 90 days before importation or exportation

Requirements:

- ▶ Accomplished TC Form 1 (Application for Advance Ruling on Tariff Classification)
- ▶ Sample of product (as needed)
- ▶ Technical catalogues / Brochures
- ▶ Duly Certified Complete Product Composition
- ▶ Other Pertinent Information

Filing Fees

TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010.

Filing Fee	PHP 500.00
Legal Research Fund	PHP 10.00

Timetable for Issuance

**30
Days**

From receipt of a properly documented application



Dispute Ruling

A Dispute Ruling is an official written decision issued by the TC on a disputed tariff classification of goods under the AHTN during importation or exportation. It facilitates correct duty collection and supports the ease of doing business.

Requirements:

- ▶ Accomplished TC Form 2 (Request for Tariff Classification Dispute Ruling)
- ▶ Letter-endorsement or ruling or assessment reflecting the tariff classification made by the BOC
- ▶ BOC Single Administrative Document
- ▶ Affidavit or certification under oath that the good/s is not subject of a pending application for advance ruling
- ▶ All relevant technical information of the good/s under dispute (i.e., product description, brochures, technical specifications, picture of products and/or sample)

Filing Fees

TC's schedule of fees and charges is prescribed in Office Memorandum No. 18-010.

Filing Fee	PHP 1,000.00
Legal Research Fund	PHP 10.00

Timetable for Issuance

**20
Working Days**

From issuance by the TC of a Notice of Substantial Compliance

Depending on the complexity of the case, the said period may be extended for another 20 working days upon prior notice to the importer or exporter and the BOC



Binding upon the BOC

Pursuant to Section 1100, rulings of the TC on commodity classification shall be binding upon the BOC, unless the Secretary of Finance shall rule otherwise.



Resources

TC Website

www.tariffcommission.gov.ph

TC Citizen's Charter

Detailed checklist and step-by-step procedures available on the TC website

Commission Order No. 2017-01

Procedure on Application for an Advance Ruling on Tariff Classification Related to Importation or Exportation of Goods

Commission Order No. 2018-01

Rules of Procedure on Disputes involving Tariff Classification

1. **What is Section 1100 of Republic Act No. 10863?**

Section 1100 (*Classification Ruling*) of Republic Act (RA) No. 10863, or the Customs Modernization and Tariff Act (CMTA), provides that an importer or an exporter may file a written application for an advance ruling on the tariff classification of goods with the Tariff Commission (TC).

Section 1100 further provides that when a declared tariff classification of goods, not subject of a pending application for advance ruling, is in dispute, the importer, exporter, or the Bureau of Customs (BOC) shall submit the matter to TC for a ruling.

2. **What are the two rulings on tariff classification issued by the TC under Section 1100?**

Based on Section 1100 of the CMTA, the TC issues the following two classification rulings:

- a. **Advance Ruling on Tariff Classification** - an official written decision issued by the TC which provides the applicant with the appropriate tariff classification of goods under the ASEAN Harmonised Tariff Nomenclature (AHTN) prior to importation or exportation.
- b. **Tariff Classification Dispute Ruling** - an official written decision issued by the TC on a disputed tariff classification which provides an importer, exporter, or the BOC with the appropriate classification of goods under the AHTN during importation or exportation.

The Advance Rulings issued by the TC add certainty and predictability to international trade and help importers or exporters make informed decisions based on legally binding rules. On the other hand, the Tariff Classification Dispute Rulings help facilitate the payment and collection of correct duties, and support the ease of doing business.

3. **What are the requirements to obtain a ruling on tariff classification?**

Advance Ruling on Tariff Classification

In Section 1103 (*Conditions for Application and Effect of Advance Ruling*), it is provided that an application for an advance ruling shall cover only one (1) product or item. The application for advance ruling shall be filed at least ninety (90) days before the importation or exportation, as the case may be, of the product or item.

An applicant is required to accomplish TC Form 1 (*Application for Advance Ruling on Tariff Classification*), which is available in the TC office or can be downloaded from the TC website www.tariffcommission.gov.ph. The applicant shall also submit a sample of the product (as needed), technical catalogues/brochures, duly certified complete product composition, and other pertinent information.

Tariff Classification Dispute Ruling

An importer or exporter applying for a Tariff Classification Dispute Ruling is required to accomplish TC Form 2 (*Request for Tariff Classification Dispute Ruling*) (*for importer or exporter only*), which is available in the TC office and downloadable from the TC's website. The applicant shall also submit the following: letter-endorsement, or ruling or assessment reflecting the tariff classification made by the BOC; BOC Single Administrative Document (SAD); affidavit or certification under oath that the goods are not subject of a pending application for advance ruling; and all relevant technical information of the good/s under dispute (*i.e.*, product description, brochures, technical specifications, picture of products and /or sample).

The BOC can also request the TC for a ruling in cases of difficult or highly technical questions on classification.

4. Are there any fees to be paid by petitioners?

The TC's schedule of fees and charges are prescribed in Office Memorandum No. 18-010. For applications for Advance Ruling, a Filing Fee of Five Hundred Pesos (PHP 500.00) and Legal Research Fund Fee of Ten Pesos (PHP 10.00) is collected for each application.

On the other hand, a Filing Fee of One Thousand Pesos (PHP 1,000.00), Legal Research Fund Fee of Ten Pesos (P10.00), and other fees, as may be prescribed by the TC, is collected for every application for a Tariff Classification Dispute Ruling.

5. What is the timetable for the issuance of rulings on tariff classification?

Section 1100 provides that TC shall render an advance ruling within thirty (30) days from receipt of a properly documented application.

For applications for tariff classification dispute rulings, the Commission shall issue the ruling within twenty (20) working days from issuance by the TC of a *Notice of Substantial Compliance*, signifying that all required information or documents are complied with. Depending on the complexity of the case, said period may be extended for another twenty (20) working days upon prior notice to the importer/exporter and the BOC.

6. Are TC classification rulings binding on the Bureau of Customs?

Pursuant to Section 1100, rulings of the TC on commodity classification shall be binding upon the BOC, unless the Secretary of Finance shall rule otherwise.

7. How does one apply for a ruling on tariff classification?

The procedures in applying for classification rulings are contained in the following Commission Orders:

- a. Commission Order No. 2017-01 – Procedure on Application for an Advance Ruling on Tariff Classification Related to Importation or Exportation of Goods; and
- b. Commission Order No. 2018-01 – Rules of Procedure on Disputes involving Tariff Classification.

The checklist of requirements and the step-by-step procedure in filing applications are also found in the TC Citizen's Charter.

The Orders and Citizen's Charter are on the TC website.